SMART MONEY CONCEPT SIMPLIFIED

By:Goitse-Modimo Odirile Mathibe



Chapter: CHANGE OF MARKET CHARACTER

Change Of Market Character Is Mainly Known AS CHoCH.

WHAT IS A CHoCH?

-Change Of Market Character Occurs When The Market Switches From A Trend To Trend Using A Unique Or Certain Structure ,Which Means There's A Certain Structure Which Was Designed To Help You Understand When The Market Switches From A Current Trend To Another. The Term *Character* Means *Trend* (*A Change Of Market Trend).*

MARKET SWITCHES FROM WHICH TREND TO WHICH TREND?

- From **Uptrend** To **Downtrend.**
- From **Downtrend** To **Uptrend.**

That's Where The Change Of Market Happens.

(*The Question That You Should Ask Yourself Now Is ….Since Well Know We Know That The Market Is Mainly Going To Change Its Character To Another, Where Do We Find It?)*

WHERE SHOULD WE FIND THOSE SPECIFIC ZONES WHERE WE SHOULD LOOK FOR A CHoCH?

-A Change Of Market Character On An **Uptrend** Can Always Be Found On The Higher Highs And On The Higher Lows .
Which Means On An Uptrend You Going To Look For A CHoCH On Those Zones.

-On A **Downtrend** You Going To Find Your CHoCH On Your Lower Lows And Lower Highs.

•*Then When Market Hits Your Orderblock,We Have Something Called Confirmation Entry Point We Mainly See It As A* ***CHoCH*** .
The Market Needs To Switch From A Certain Trend To A Specific Trend And You'll See What I Am Talking About As You Going Deeper Into All This Chapters Because We Also Have A Chapter Which Is Mainly About ***Confirmation Entry Point.***

WHAT CAUSES CHoCH?

(*What Causes Market To Switch From One Trend To Another?)*

•A **CHoCH** Is Caused By A Failure Of Respecting A Trend Rules , On The Market Structure Chapter I Spoke About A Trend Having Properties And Rules.
I Said That Failure Of Market Respecting Those Rules , It's Going To Result To Consequences.

•***Now This Is What We Need To Expect After The Market Fails To Respect The Rules Of A Trend*** *:*
-We Should Expect A CHoCH , Which Means There's A Possibility For The Market To Switch From A Current Trend It Was On To A Certain Trend .

•The Other Way Of You Understanding What Causes **CHoCH** , Is That Once The Market Fails To Respect Your Orderblock, You Should Know That We Might Start Switching From A Current Trend To Another.

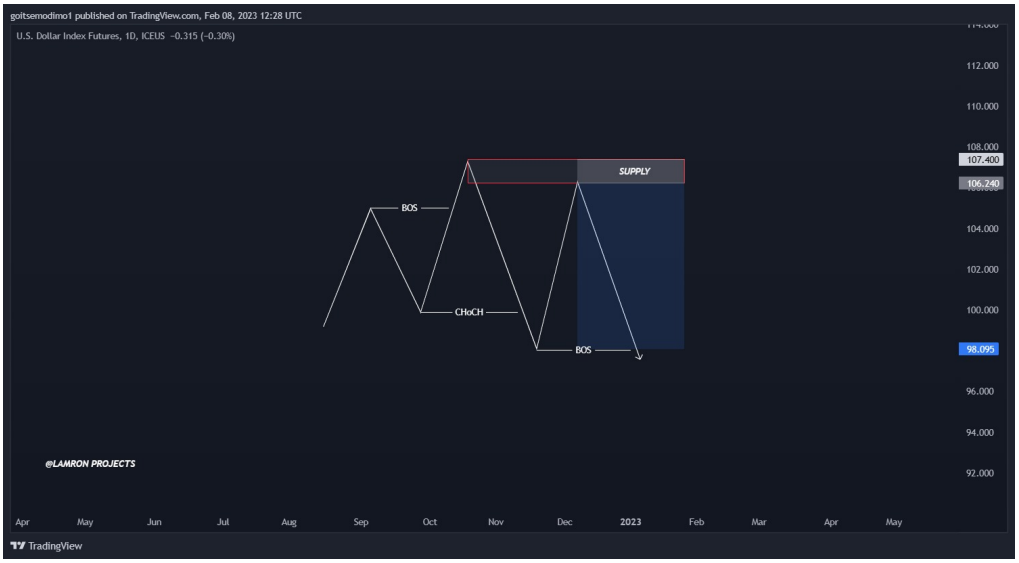
•Now Let's Say The Market Creates A **CHoCH** And It Fails To Respect An Orderblock. So There's A Certain Zone That It Needs To Go To , For It To Confirm To Us That "Okay" It's Going To Move From That Current To Another Trend.

(Now The Question Is What If The Market Doesn't Do That?What If The Markets Breaks That Zone And Continues Pushing Up Or Down Depending On A Trend It Was On.)

•The Things That You Can Expect , The Answers Are : From My Point Of View What I've Witnessed (*Talking From Experience)* The Reason Why Market Would Do That It Is Because It Has A Strong Momentum Of A Current Trend Which We Are Introduced To .
If It Fails To Switch That Trend We Are Into , To Another Trend … Which Means The Buying Momentum Of Current Trend Is Strong Or The Selling Momentum Of A Downtrend Is Strong.

•Whereas Sometimes We Gonna Find Ourselves In Positions Where We Are Focusing On A Minor **Change Of Market Character** Instead Of The Major One.

SWITCH FROM UPTREND TO DOWNTREND.



-What Happens In This Structure Is That Market Comes From An Uptrend.

-Price Broke A Higher High Creating A Breakout Of Structure, When It Goes Down …Remember We Had An Orderblock On Our Higher Low .
Once Market Breaks That Orderblock, That Zone Where Market Breaks An Orderblock It That We Are Currently Having A **CHoCH (**Change Of Market Character **)** And That Tells Us That We Might Be Switching A Trend.

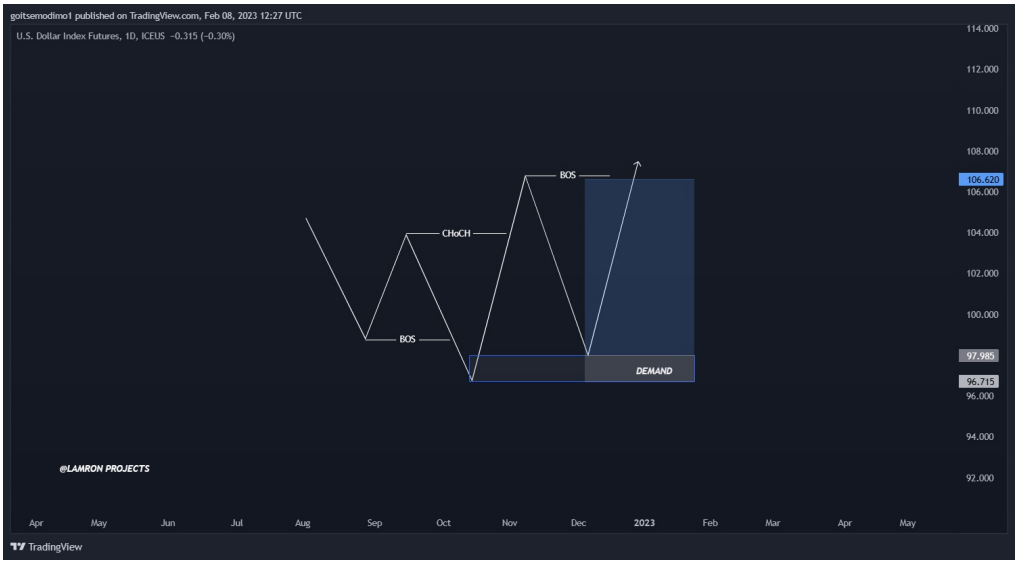
-Market Breaks That Higher Low The Pulls Back To Respect Our **Supply** Level . Which Means Now That CHoCH Of Ours Gonna Act As A Break Out Of Structure Of A Trend That We're Moving Into … Which Is Downtrend.

-And Technically On An Uptrend We Know That Market Breaks Higher Highs And Respect Our Higher Lows.

-In This Case You Can See That Market Broke A High And Failed To Respect A Low .
Which Means Now The Market Is No Longer Respecting Our Rules, And When Market Fails To Respect Our Rules Plan B Is Change Of Market Character.

-The Market Might Be Changing Its Buying Trend Into A Selling Trend.

SWITCH FROM DOWNTREND TO UPTREND.



-With A Switch From Downtrend To An Uptrend , You Can See That Market Comes Pushing To The Downside Creating A Lower Low And Then Price Corrects To Create A Lower High .
It Then Breaks A Lower Low To Create A Break Out Of Structure.

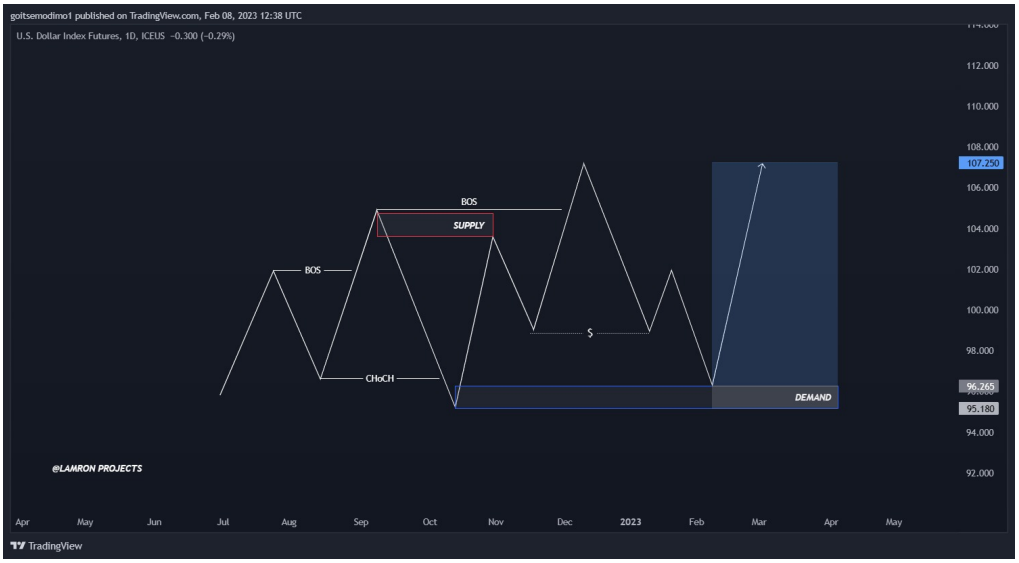
-Remember The Rules Of A Downtrend States That On A Downtrend We Break Lower Lows And Respect Lower Highs .

-But Then In This Scenario The Market Fails To Respect A Lower High , Which Means Now The Market Is Going To Give Us A Change Of Market Character And Once The Market Gives Us A CHoCH It Tells Us That We Might Be Switching From A Current Trend To Another Trend.

-Now A CHoCH Will Be Considered As A Breakout Of Structure Of A New Trend Which Is Uptrend .
Then Price Will Go And Respect Our Demand Level.

FAILURE OF CHoCH.

FAILURE OF CHoCH ON AN UPTREND.



-Here We Have A Failure Of Moving From Uptrend To Downtrend. The Market Fails To Give Us A Change Of Market Character.

•What Happens Is That Market Gives Us A Higher High And A Higher Low Then It Breaks A Higher High Giving Us A Breakout Of Structure. Price Fails To Respect That Higher Low And Creates A CHoCH Meaning That We Expecting Market To Respect That Lower High Which Was Formed After Creating A CHoCH.
On Our Supply Zone And Then Pushes To The Downside.

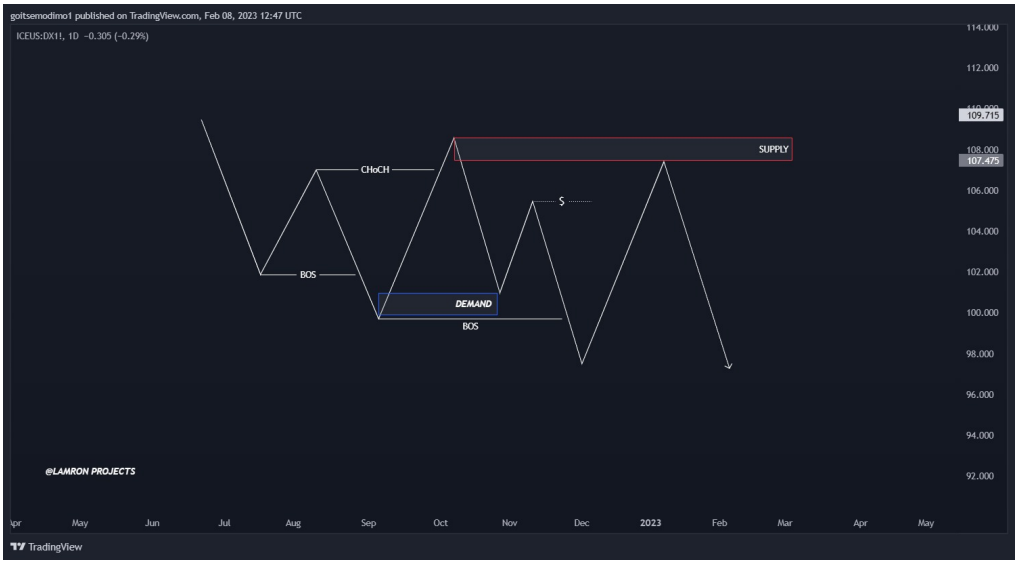
•But What Market Does It's That Price Taps Into Our Supply And Push To The Downside With Our Sells But It Never Hits Our Target, Instead It Reverses And Start Pushing To The Upside Breaking Our Supply Levels.

•That Means Our Orderblock Was Not Strong Enough To Hold The Market , Because The Buying Pressure Might Be Strong.

•Now Once The Market Breaks That Level It Creates A Breakout Of Structure Of The Buying Momentum.
Then After Giving Us A BOS Market Pulls Back To Respect Our Demand Zone And Start Pushing To The Upside.

•Which Means Now The Bullish Pressure Is Taking Control, Now The Market Has To Continue Creating A Series Of Higher Highs And Higher Lows To Show That It Is A Bullish Trend.

FAILURE OF CHoCH ON A DOWNTREND.



-In This Structure Market Is On A Bearish Trend It Creates A Lower Low And A Lower High It Then Breaks Our Lower Low To Give Us A BOS But Price Fails To Respect Our Lower High Giving Us A CHoCH. Which Means Now The Market Might Switch Its Character.

-Since Well We Have A CHoCH We Take That As A BOS Of An Uptrend ,Now We Expecting Price To Respect Our Demand.

-Market Taps Into Our Demand Level And Pushes Up But It Never Hits Our Target , Instead Price Pulls Back And Continues Pushing Down.

-When Market Goes Down It Shows That Price Is Failing To Respect An Orderblock Of A CHoCH Which It Was Our Demand Level ,In That Function It Means That Sellers Are Strong.

-And That Level Will Be A Breakout Of Structure Of A Downtrend , Now We Expecting Market To Pullback And Continue Respecting Our Supply Levels And Continues Giving Us A Series Of Lower Lows And Lower Highs Because Since The Market Fails To Respect An Orderblock Of A CHoCH It Tells Us That The Bearish Momentum Is Strong.

[That Is How The Market Goes With Not Respecting An Orderblock Of A CHoCH.]

Written By Founder Of Lamron Projects:

GOITSE-MODIMO ODIRILE MATHIBE

Signature:

